

SWOT analysis

3.3.1.3 Business objectives & strategy · Mr. Akram — Akademy

SWOT analysis is a strategic-planning tool that helps a business identify its **Strengths**, **Weaknesses**, **Opportunities** and **Threats** before choosing a strategy. Strengths and weaknesses are **internal** (within the firm's control); opportunities and threats are **external** (found using PESTLE).

The four elements

- **Strengths** (internal) — what the firm excels at: strong brand, loyal customers, strong finances, skilled workforce, unique technology.
- **Weaknesses** (internal) — what holds it back: weak brand, high labour turnover, high debt, poor supply chain, lack of capital.
- **Opportunities** (external) — favourable outside factors, e.g. a tariff cut letting a car maker export to a new market.
- **Threats** (external) — harmful outside factors, e.g. drought for a wheat producer, rising costs, more competition, tight labour supply.

Worked example — a local Chinese restaurant

Objective: increase profits by 20% by 31 Dec 2025. Strategies considered: (1) more promotion, (2) raise prices, (3) cheaper suppliers, (4) cut workforce.

Strengths	Weaknesses
Good high-street location; strong finances; reputation for high-quality food.	Only 50% capacity Mon–Thu; limited promotion; 100% capacity Fri–Sun.
Opportunities	Threats
The only other Chinese restaurant in the area is closing.	Many other restaurants on the high street (fish & chips, Mexican, Indian).

Reading the SWOT, **investing in promotion** is strongest — it fills quiet midweek tables and captures the closing rival's customers, while protecting the restaurant's quality reputation. Raising prices or cutting quality/staff would damage that core strength, so they are rejected.

Advantages & limits

- Turns scattered information into a structure for evidence-based strategic and tactical decisions; good practice is to match strengths to opportunities and defend against threats.
- But it is only a **snapshot** and dates quickly as the environment changes.
- It can be **subjective** — opinion not data — and may produce long unranked lists.
- **Small businesses** struggle to use it well (limited time, expertise and market data), so use it regularly and alongside PESTLE.

Apply it

- What are the advantages and disadvantages of conducting SWOT for a business such as Amazon?
- Why is it often very difficult for a small business to use SWOT analysis effectively?